ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - ICT REJECTION BLOCK

Welcome to Teaching 3.3, which focuses specifically on Rejection Blocks. Consider the following question: What do you observe in price action on the chart at major highs and lows? Take a moment to pause and analyze.

You may have noticed old highs being violated, followed by a significant movement away from that level. This is understood as a Turtle Soup or a false breakout. While it may be easy to identify these in hindsight, many traders lack the experience to anticipate their formation in advance. This is due to insufficient time spent reviewing charts to observe their repetitive formation.

For those working with my content, you might have identified these patterns. There are two major false breaks illustrated here:

- A false swing above a previous high, leading to a rejection and a subsequent significant price swing lower.

- A false break below an old low, resulting in a significant price rally higher.

Let's take a closer look.

We observe an old low that has been violated, indicating that sell stops below that low have been run out. Consequently, we expect repricing on the upside, seeking buy side liquidity. Similarly, the market trades above an old short-term high, pairing up buys from the previous low with buy stops, allowing institutions to sell into the movement above the previous high. Each of these instances represents a Turtle Soup:

- The first is a Turtle Soup Long (running sell stops).

- The second is a Turtle Soup Sell (running buy stops).

We see instances where old lows are violated, running out sell stops, and old highs are violated, running out buy stops. Significant price swings are evident on the daily chart. This provides a great deal of prognostication: every time a new high or low is formed, we anticipate some measure of rejection. This is the first anticipatory price skillset you should develop, as it's the most challenging to groom in your trade psychology.

BEYOND FAILURE SWINGS: OTHER DISTRIBUTION & ACCUMULATION PATTERNS

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While some of you understand higher high failure swings, lower low failure swings, or Turtle Soup Long and Turtle Soup Buy, many are unaware that other distribution and accumulation patterns occur at highs and lows. Let's examine these patterns, specifically focusing on a bearish run on buy side liquidity, also known as a Turtle Soup Sell.

BEARISH RUN ON BUY SIDE LIQUIDITY (TURTLE SOUP SELL)

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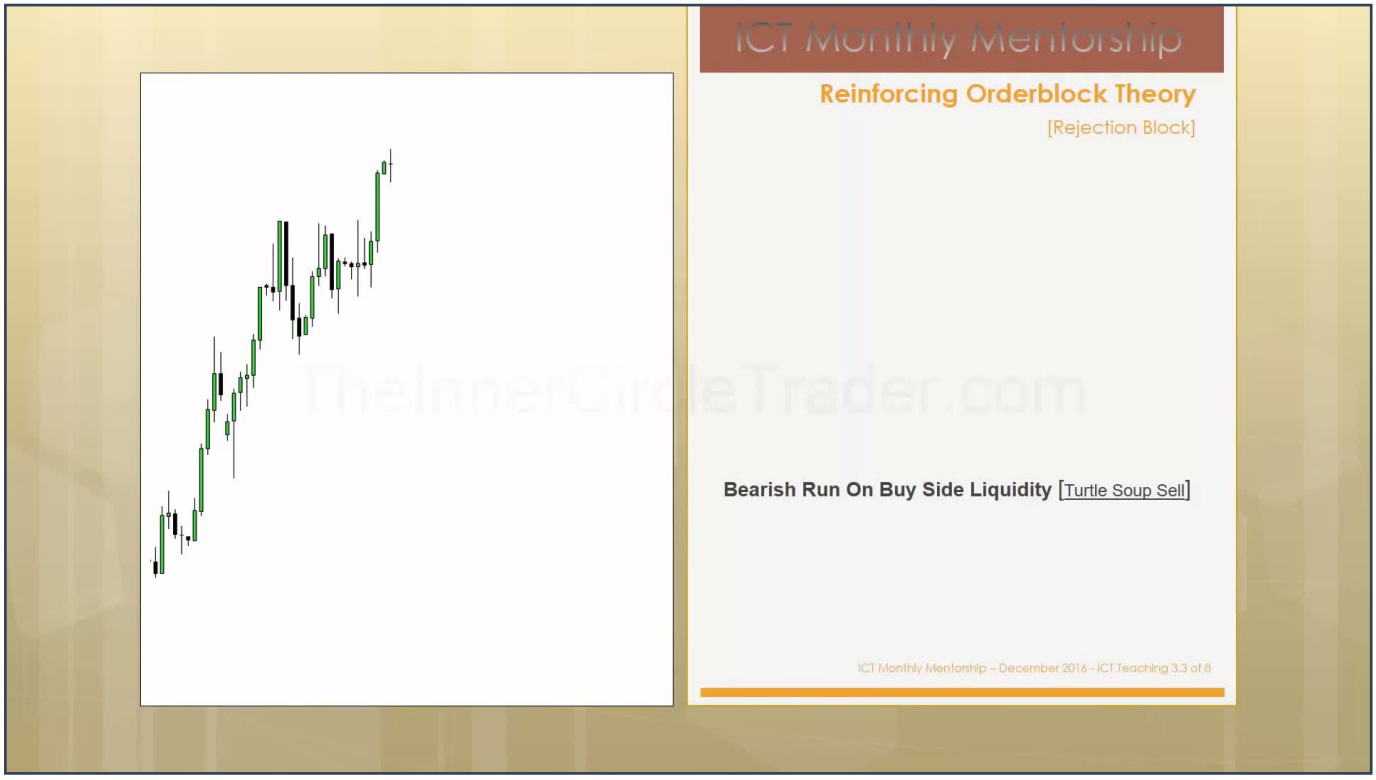

Given the price action, it should be clear that equal highs have been violated, meaning buy stops above those equal highs have been run out. In such a scenario, we would reasonably expect to see a sweep through, a potential rejection, and a subsequent trade lower. This is precisely what is observed here as an example. While some find it easy to spot these violations of previous highs/lows, followed by rejection and larger retracements, there's a different approach to understanding distribution and accumulation that will be taught.

DEFINING THE BEARISH REJECTION BLOCK

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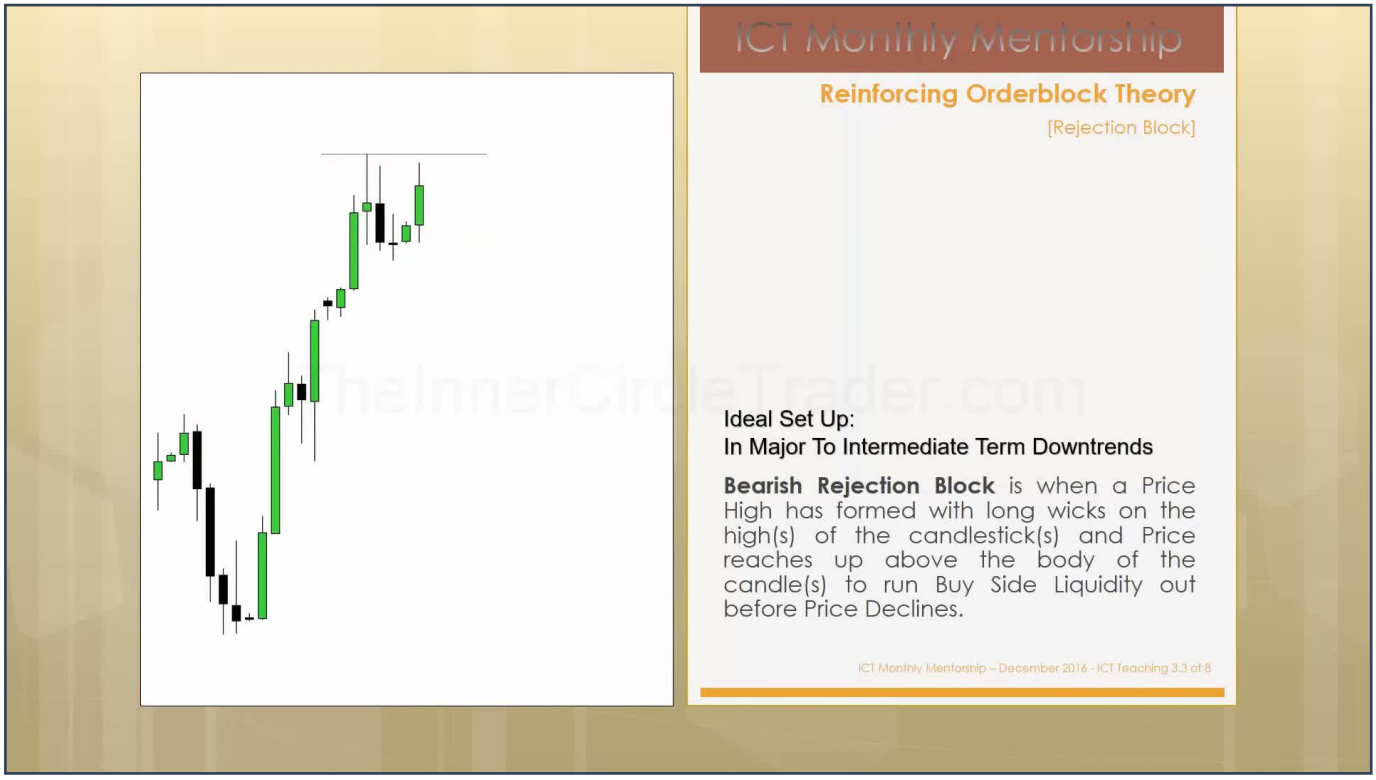
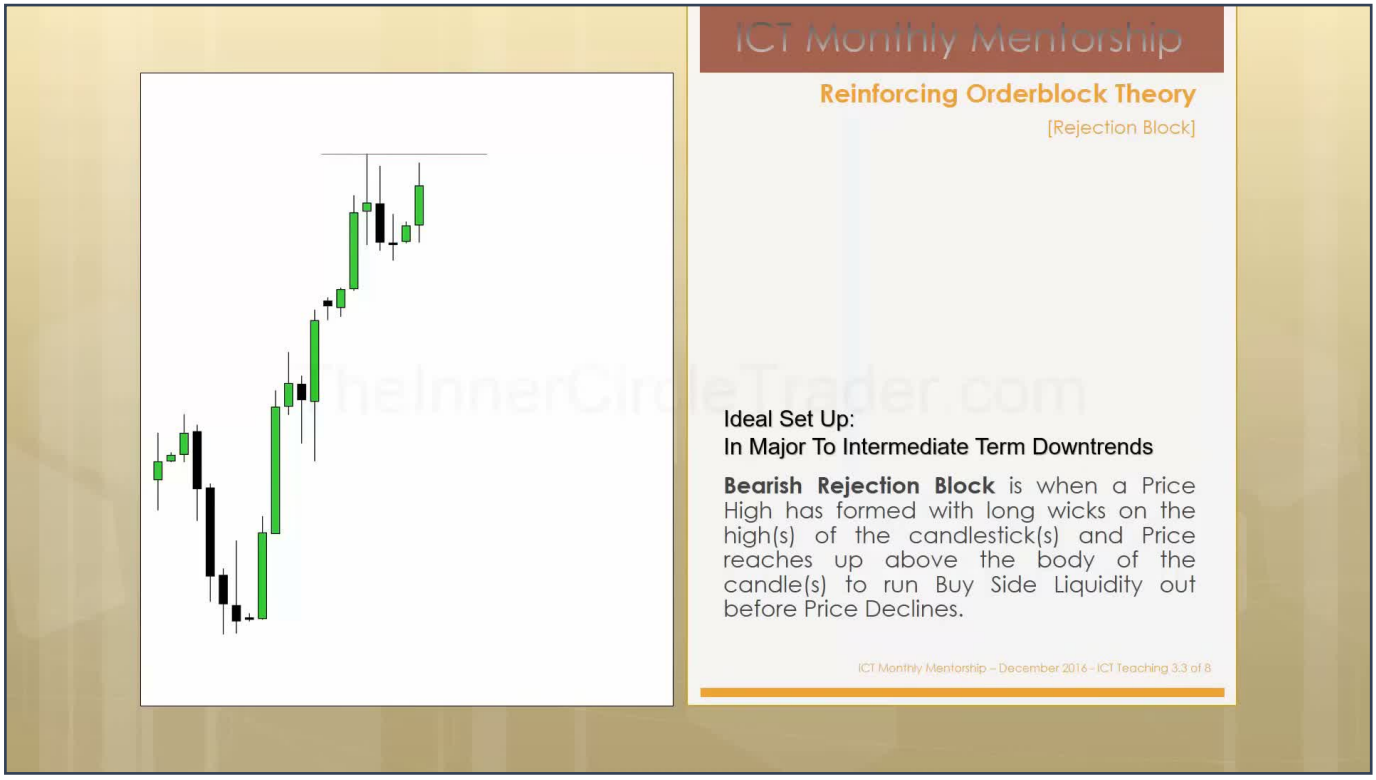
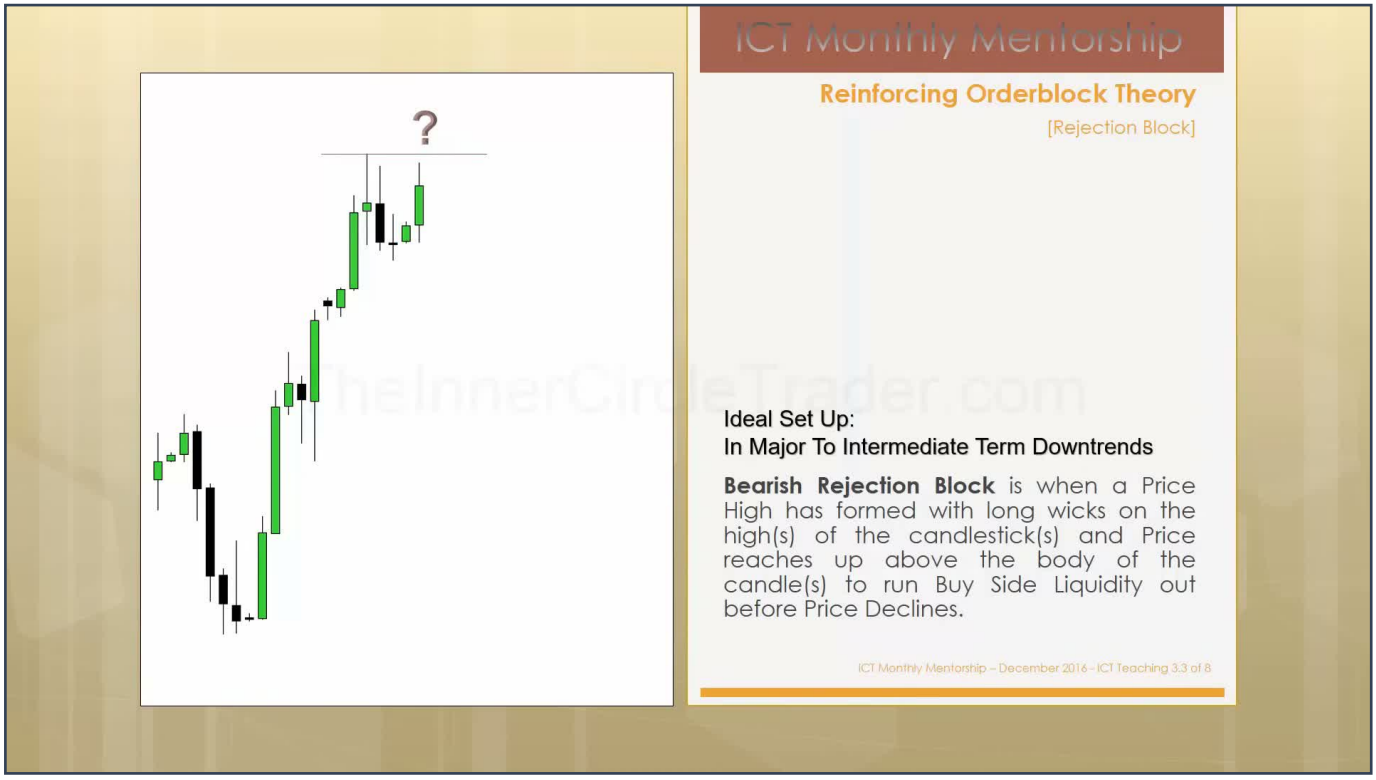


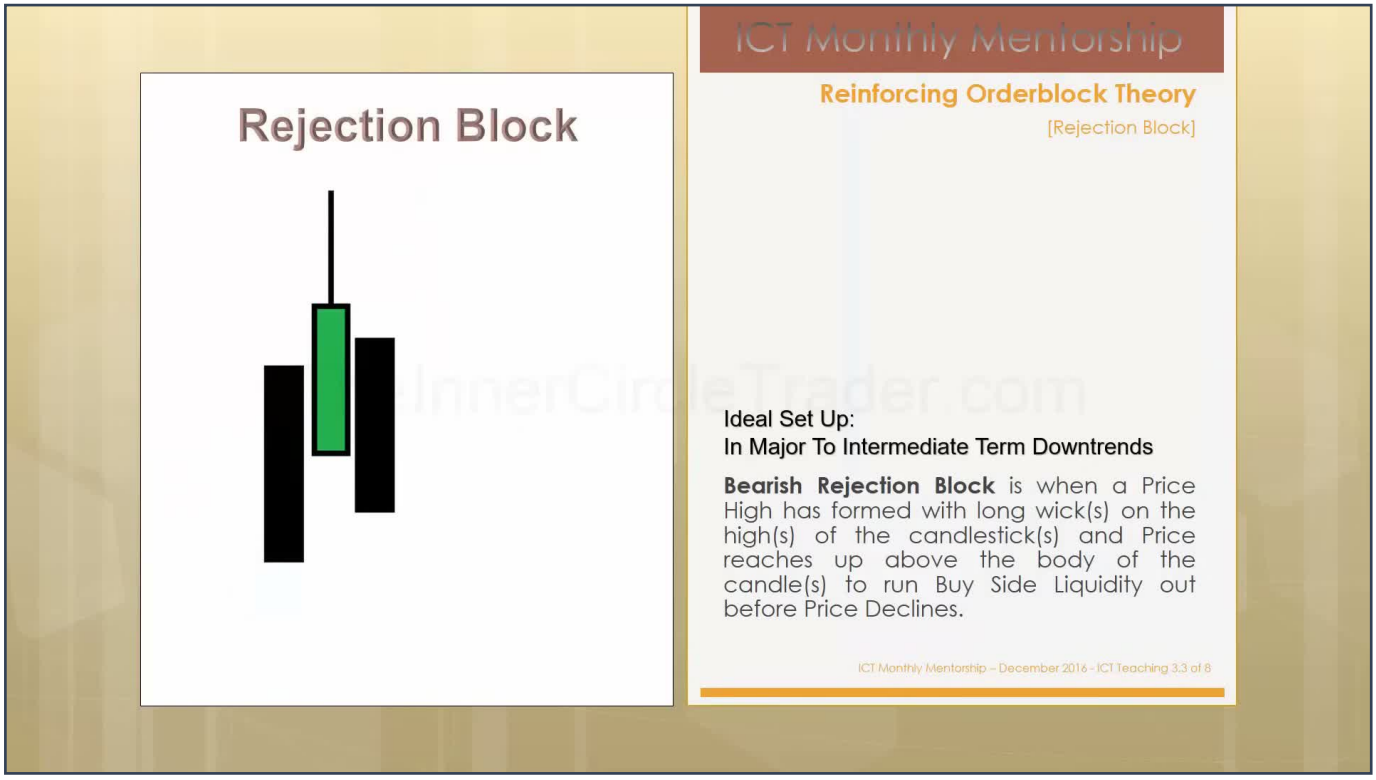
We will now discuss the Bearish Rejection Block. The ideal setups for this pattern are found in major to intermediate-term downtrends. A Bearish Rejection Block forms when a price high has formed with long wicks on the high or highs. This can involve more than one candlestick forming the high. Price reaches up above the body of the candle (or candles) to run the buy side liquidity out before declining. As illustrated, several wicks indicate potential resistance.



A classical chartist might interpret this pattern as a potential continuation pattern, such as a bull flag. However, as discussed earlier in this mentorship, such classical chart patterns often contain falsehoods. Price movement is not dictated by animal patterns or supposed geometry in price action; it is based on orders. If this price action occurs near a longer-term resistance level, trading into a bearish order block, or an old low (which may not be visible in this sample size), it suggests underlying distribution.



Instead of focusing solely on new higher highs, observe the highest body within this formation and the most recent candle that traded through it. Price pushing above the previous highest candle's body produces the distribution seen here. Price does not necessarily need to make a higher high to exhibit a failure swing. By focusing on the bodies of the candles, specifically the opens and closes, you can discern distribution and accumulation at turning points. The real pattern emerges from the previous highest-bodied candle, followed by a later drive higher. This candle, prior to the upward movement, was the highest-bodied candle. We pay less attention to the wicks; the wicks merely highlight the potential formation of this pattern. The subsequent candle that shoots above this previous body or highest close/open clears out buy side liquidity, followed by rejection, signifying distribution.



To define a rejection block, especially when multiple candles form the high with multiple wicks:

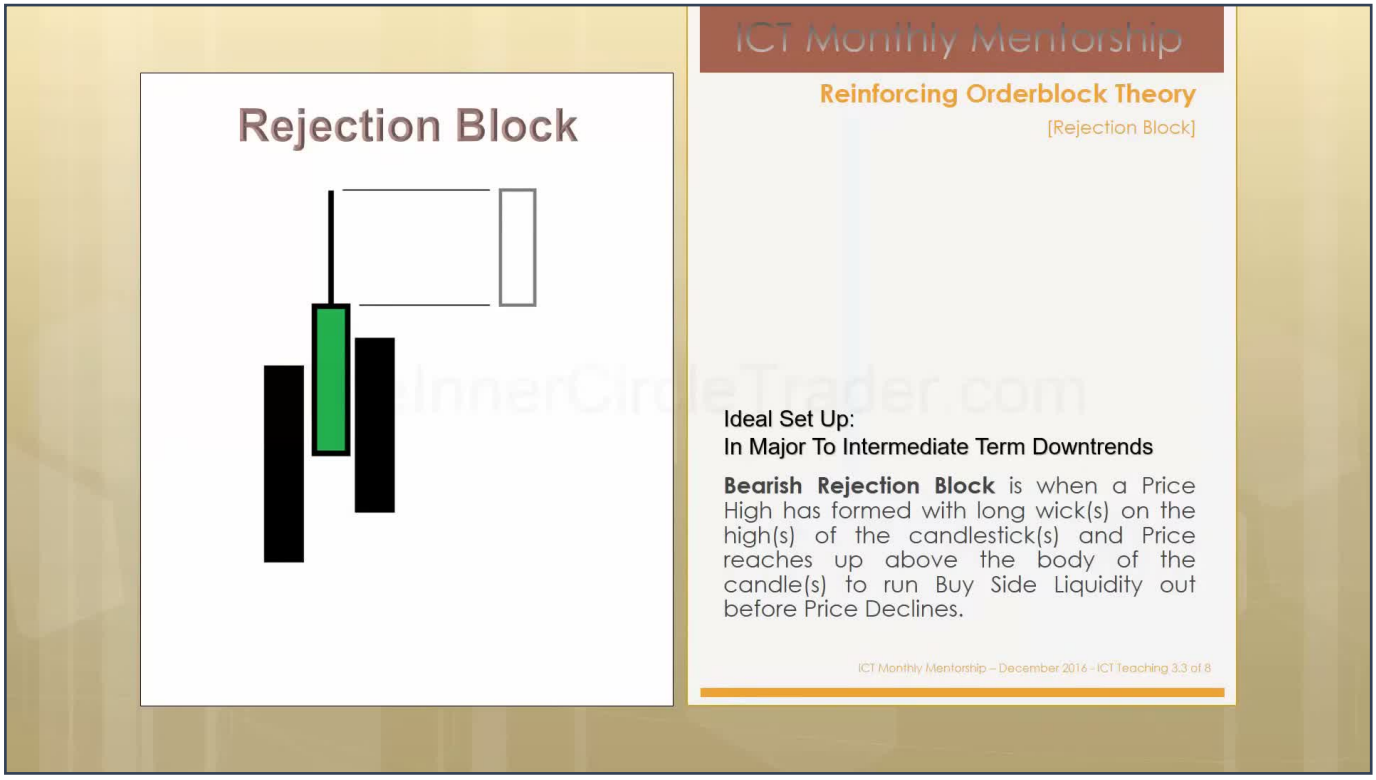
- Look for the highest high.

- Identify the highest open or close within that swing high.

- The wicks draw attention to the potential rejection block, but the parameters are built by finding the highest high and the highest open or close in the swing high.

- It does not matter if the highest candle is bearish or bullish-closed. You are still looking for the highest high with the highest open or closing price into the highest wick.

This framework defines the Rejection Block.



Once the Rejection Block is defined by the highest wick's high and the highest open or close in the swing high, you should view this range as a selling block, similar to a bearish order block. When price trades back up to the low of that range, that is your trigger:

- Aggressive entry: Sell at that price, placing a stop loss above that specific price level.

- Conservative entry: Wait for price to trade slightly through it, then sell on a stop below that level, selling on weakness. This is one of the few times selling on a stop is used as an entry pattern. If price moves a significant amount above the highest open or close (the highest close or bullish green candle) and does not trade to a higher wick high, you can be a seller on a stop below that level.

BEARISH REJECTION BLOCK EXAMPLE IN PRICE ACTION

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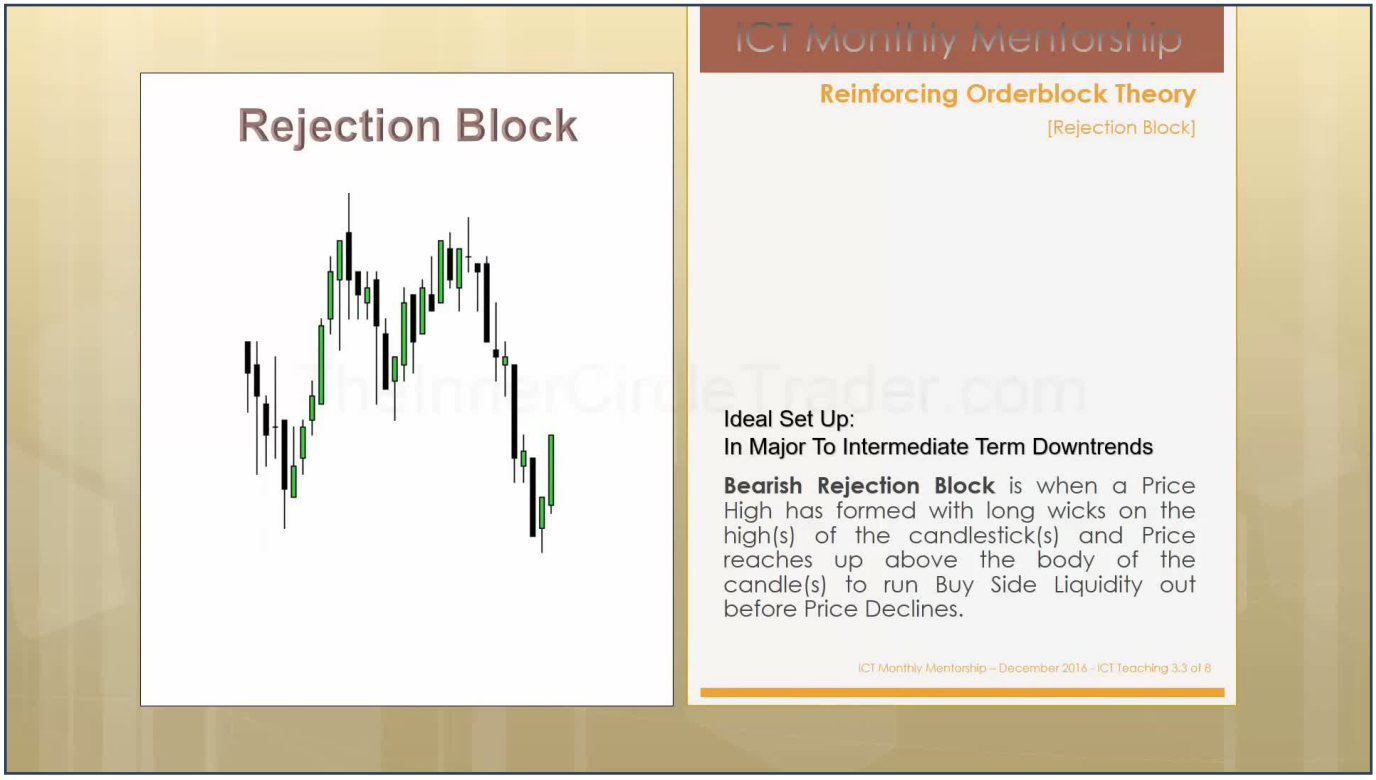

Here is an example in the charts: We have a candle with a wick. We use the highest body reference point, which could be the open or close (in this case, the open). Price trades just slightly above it, violates that level, but does not make a new higher high. Eventually, it makes a run for the sell side liquidity below the marketplace.

DEFINING THE BULLISH REJECTION BLOCK

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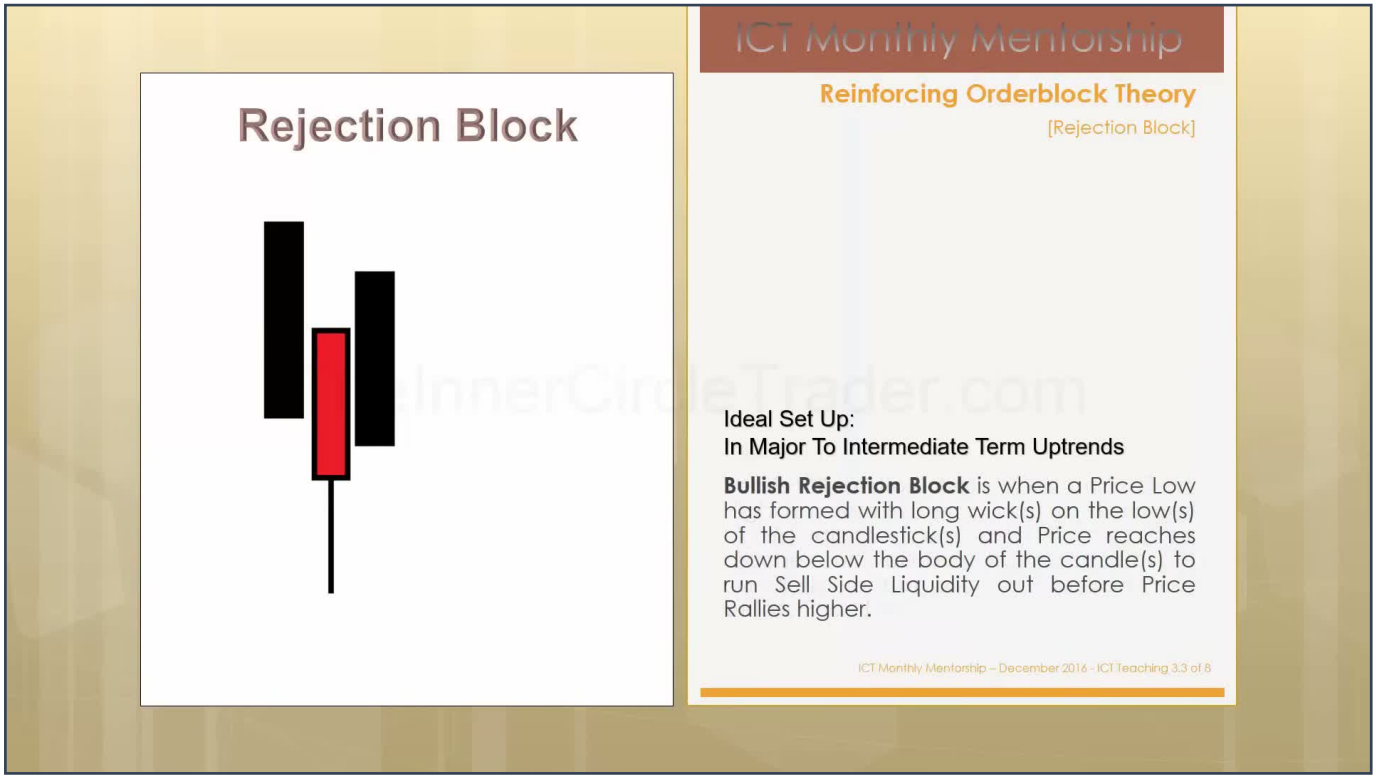


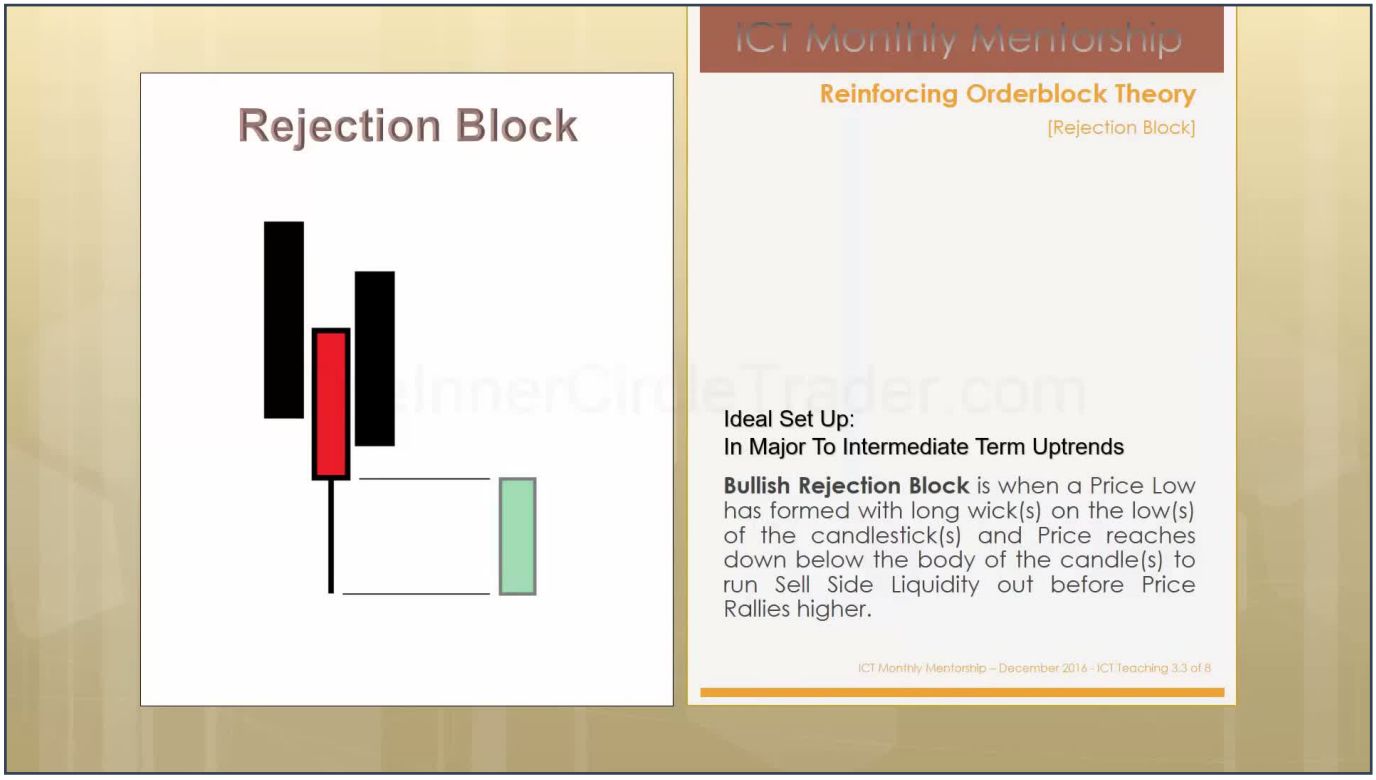
For the bullish side of the marketplace, a Bullish Rejection Block occurs in ideal scenarios in major to intermediate-term uptrends. It forms when a price low has formed with a long wick or wicks (potentially over multiple candles). Price reaches down below the body of the candle to run the sell side liquidity out before rallying higher.

To frame the Bullish Rejection Block:

- Use the lowest wick low.

- Use the lowest open or the lowest close that makes that swing low on the specific timeframe.

Once identified, you have framed the bullish rejection block.

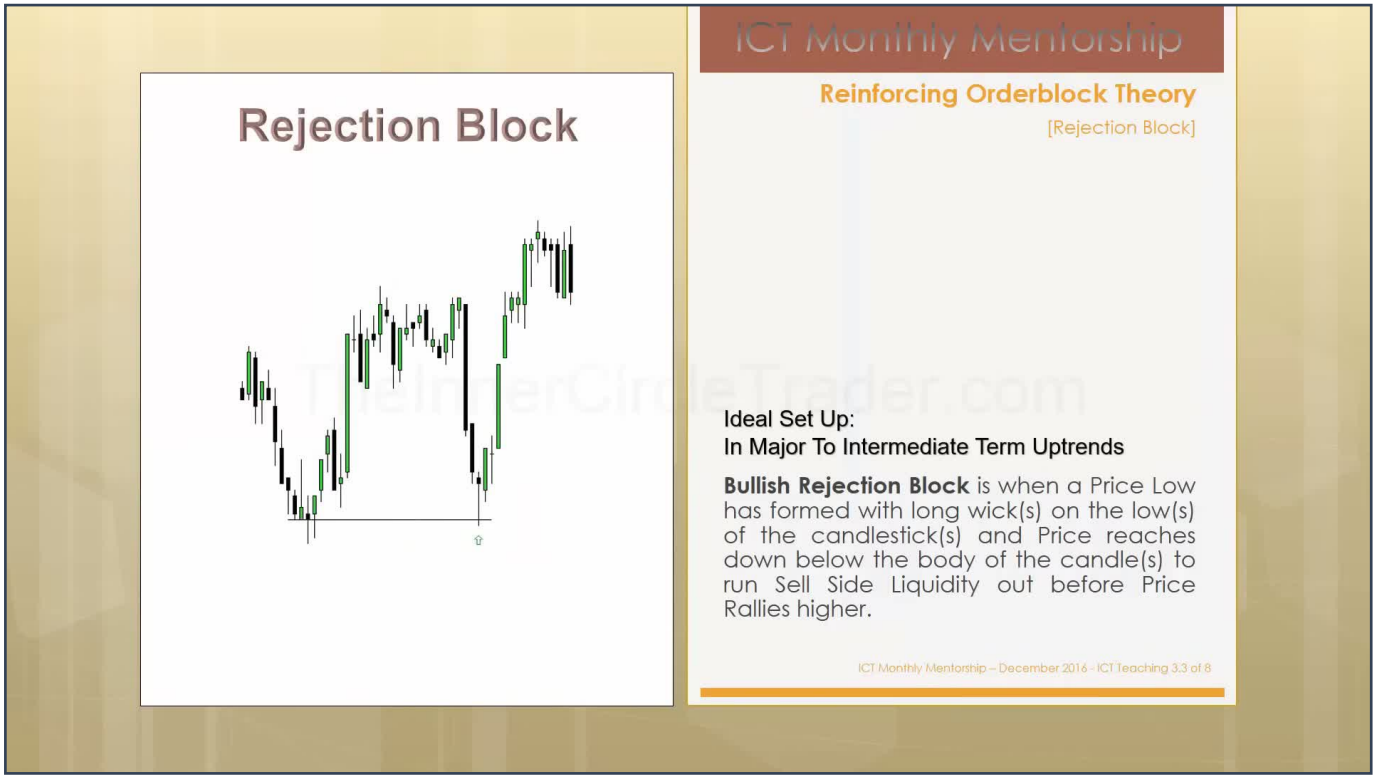


Treat the framed Bullish Rejection Block like a bullish order block. When price trades back down into the high of the block, you can be a buyer:

- Aggressive entry: Buy just below it.

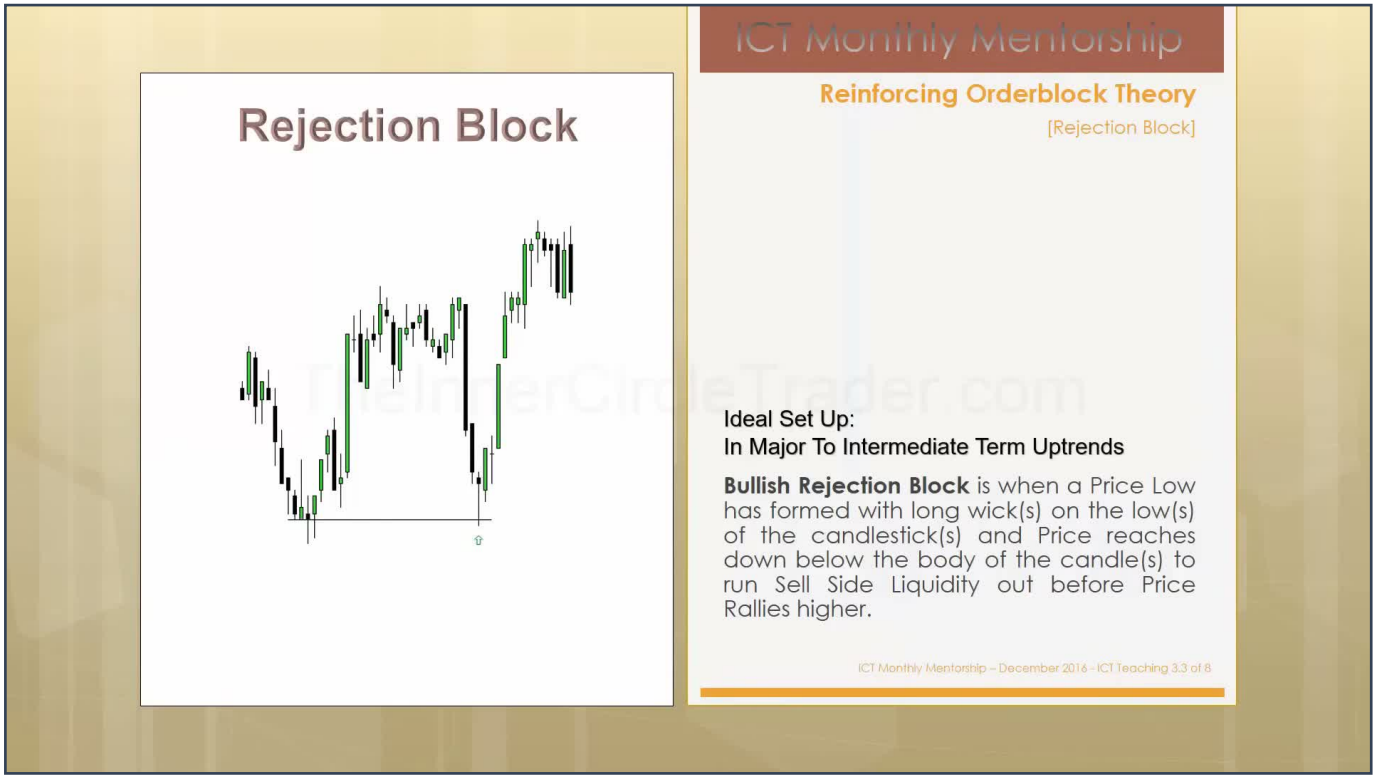
- Conservative entry (especially on longer timeframes): Wait for price to trade slightly through it, then buy on a stop just above that particular level.

The trigger is that high, or the lowest open, or the lowest close in that swing low, provided it's a swing low with a wick or wicks.



In price action, this is what it looks like: Price makes a previous low with wicks. The market then trades down just below the bodies of the candle, followed by a strong rejection due to massive accumulation. It's not always required to see a higher high for a failure swing (Turtle Soup Sell) or a lower low for a rejection (Turtle Soup Long).

We can anticipate levels like this for taking profits. If you are short in this case, and the market is trading in your favor from another setup, you could look to cover your short just below the lowest open or close in the previous swing low. Do not always demand that price gets below the wicks; it is primarily the bodies of the candle that provide the closest thing to institutional understanding you will get when using retail price delivery mechanisms.



Hopefully, this has been insightful. We will have more information as we delve into specific entry techniques, revisiting and amplifying all these concepts. For now, go through your charts and look for examples of Rejection Blocks and their subsequent price moves after their formation. Until next time, good luck and good trading.